CONFIDENTIAL INFORMATION MEMORANDUM: SUMMARY

Project Harbor

A dental support organization with 34 practices in Ohio and Michigan.

FY2024A ADJUSTED EBITDA

$14.6M

Unaudited. Margin 17.7% on revenue of $82.3M

This summary relies on unaudited FY2024A figures and management forecasts

This summary is confidential. It is provided to a limited group of potential buyers under a non-disclosure agreement and must not be copied or passed on.

FY2024A figures are unaudited because audit fieldwork is not complete. FY2025E figures are management projections and are not a guarantee of future results. No representation or warranty is given on accuracy or completeness.

Adjusted EBITDA is a non-GAAP measure set by management. Each add-back is itemized on page 5. Derived figures, such as growth rates and margins, are arithmetic on the stated lines.

Source: advisor notice (test material).

A 34-practice platform grew adjusted EBITDA to $14.6M in FY2024A

$82.3M

Revenue, FY2024A

▲ 16.1% vs FY2023A ($70.9M)

$14.6M

Adjusted EBITDA, FY2024A

▲ 22.7% vs FY2023A ($11.9M)

34

Practices at FY2024A year end

▲ +5 vs FY2023A (29)

- Growth: revenue compounded at 15.8% a year from FY2022A to FY2024A, with same-practice growth of 7.4% in FY2024A.
- Margin: adjusted EBITDA margin rose from 16.0% to 17.7%.
- Pipeline: 11 practices under LOI, with $18.5M of revenue on an unaudited management figure.
- Ask: a non-binding indication of interest in round 1. Bid date [n/a: source needed].

Adjusted EBITDA as defined by management; see page 2.

Source: company management information (test material); FY2022A and FY2023A audit status [n/a: source needed]; FY2024A unaudited.

Buyers get a growing platform, a retained dentist base and a visible pipeline

1

Growth

Revenue rose from $61.4M in FY2022A to $82.3M in FY2024A, a 15.8% annual rate.

Proof: pages 6 and 7

2

Margin

Adjusted EBITDA margin rose from 16.0% to 17.7%. Each add-back is named.

Proof: pages 5 and 6

3

Same-practice growth

Same-practice revenue growth was 6.1% in FY2023A and 7.4% in FY2024A.

Proof: page 8

4

Acquisitions

Five practices were added in FY2024A at an average 4.8x EBITDA.

Proof: page 9

5

Dentist base

112 dentists in FY2024A, with retention at 91%.

Proof: page 11

6

Pipeline

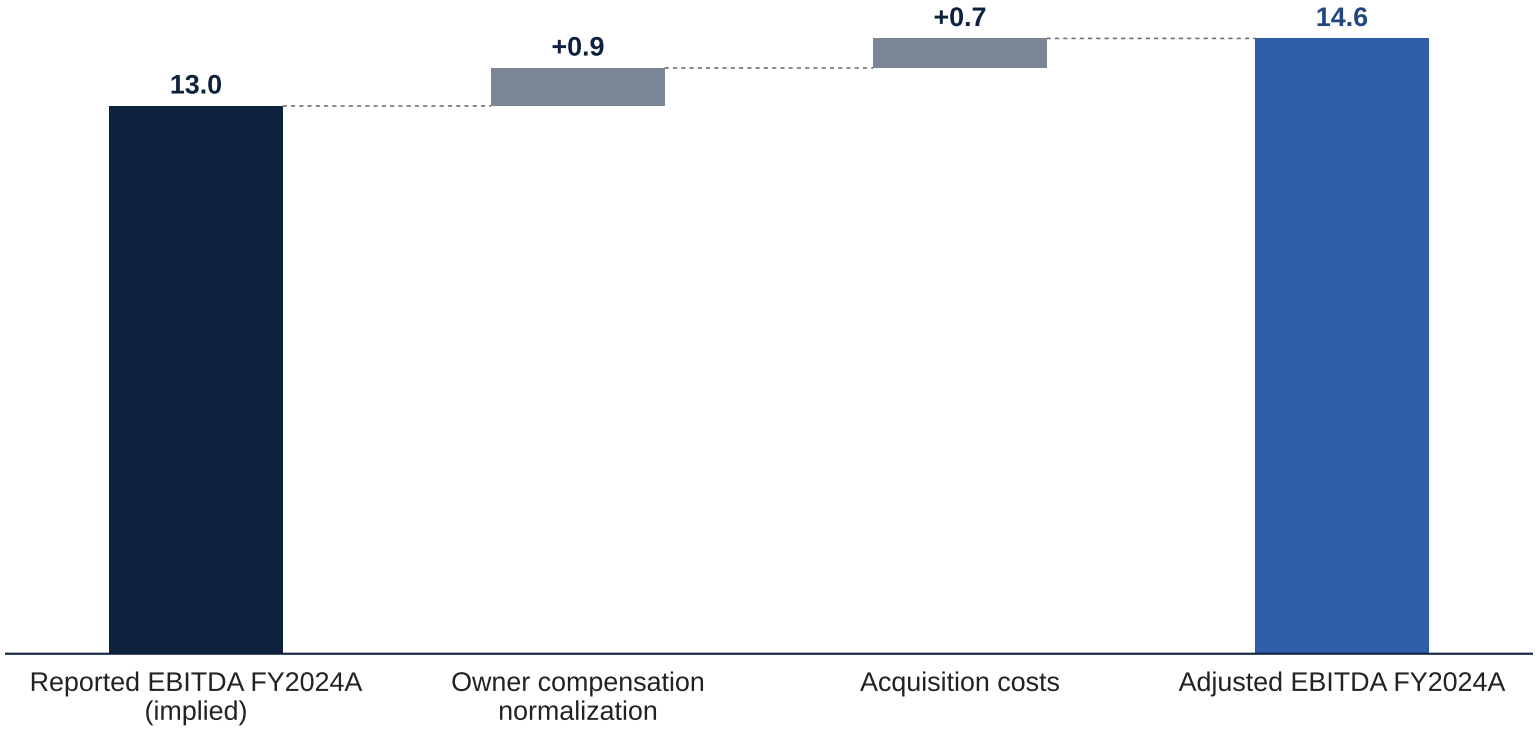
11 practices under LOI, with $18.5M of unaudited revenue.

Proof: page 12

Source: company management information (test material); derived figures are team analysis.

Two named add-backs lift implied FY2024A EBITDA of $13.0M to $14.6M adjusted

EXHIBIT 1 **Reported to adjusted EBITDA, FY2024A** $ in millions



THE TWO ADD-BACKS

- Owner compensation normalization: $0.9M
- Acquisition costs: $0.7M
- Total add-backs: $1.6M, or 11.0% of adjusted EBITDA. Each is itemized here, none is a single "normalizations" line.
- Reported EBITDA is implied as adjusted less add-backs. It will be confirmed against the audited FY2024 accounts, which are not yet complete.

Reported FY2024A EBITDA is derived: 14.6 less 1.6. Audit status: FY2024A unaudited.

Source: company management information (test material); reported EBITDA and add-back total are team analysis.

Adjusted EBITDA margin widened from 16.0% to 17.7% between FY2022A and FY2024A

EXHIBIT 2 **Summary financials** $ in millions; years to fiscal year end [n/a: source needed]

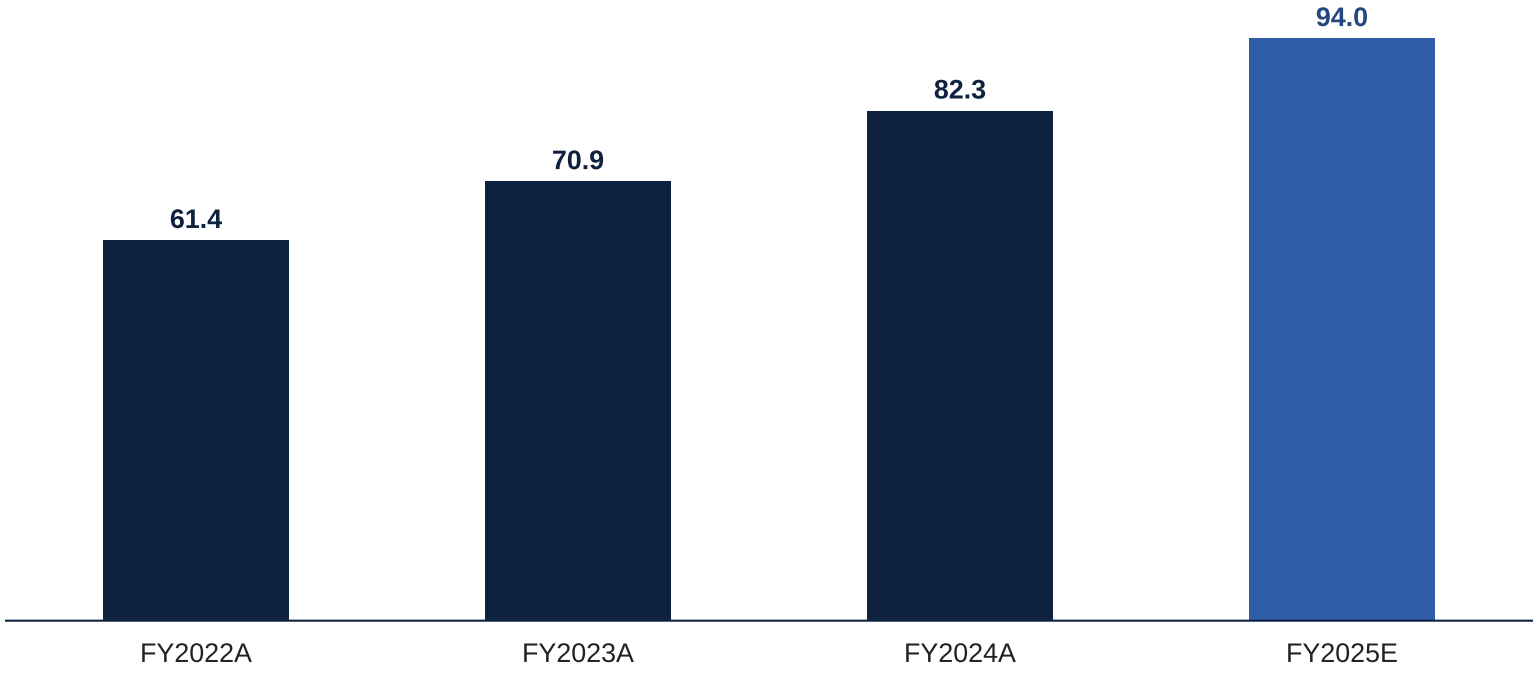
	FY2022A	FY2023A	FY2024A	FY2025E
Revenue	61.4	70.9	82.3	94.0
Revenue growth, %	*n/a*	*15.5*	*16.1*	*14.2*
Adjusted EBITDA	9.8	11.9	14.6	17.2
Adjusted EBITDA growth, %	*n/a*	*21.4*	*22.7*	*17.8*
Adjusted EBITDA margin, %	**16.0**	**16.8**	**17.7**	**18.3**
Reported EBITDA (implied)	n/a	n/a	13.0	n/a
Same-practice revenue growth, %	*n/a*	*6.1*	*7.4*	*n/a*
Practices, year end (number)	24	29	34	n/a

A = actual (FY2024A unaudited; FY2022A and FY2023A audit status [n/a: source needed]). E = management estimate. n/a = not in source material.

Source: company management information (test material); FY2025E is management forecast; growth and margins are team analysis.

Revenue grew 15.5% in FY2023A and 16.1% in FY2024A; FY2025E is 14.2%

EXHIBIT 3 **Revenue, FY2022A to FY2025E** $ in millions; FY2025E management forecast



WHAT THE BARS SHOW

- FY2023A growth: 15.5%. FY2024A growth: 16.1%.
- Compound growth FY2022A to FY2024A: 15.8% a year.
- FY2025E growth of 14.2% is management's forecast, not yet tested against the budget.
- FY2024A is unaudited.

Source: company management information (test material); growth rates are team analysis.

Same-practice revenue growth rose to 7.4% in FY2024A from 6.1%

6.1%

Same-practice revenue growth, FY2023A

Total revenue growth that year: 15.5%

7.4%

Same-practice revenue growth, FY2024A

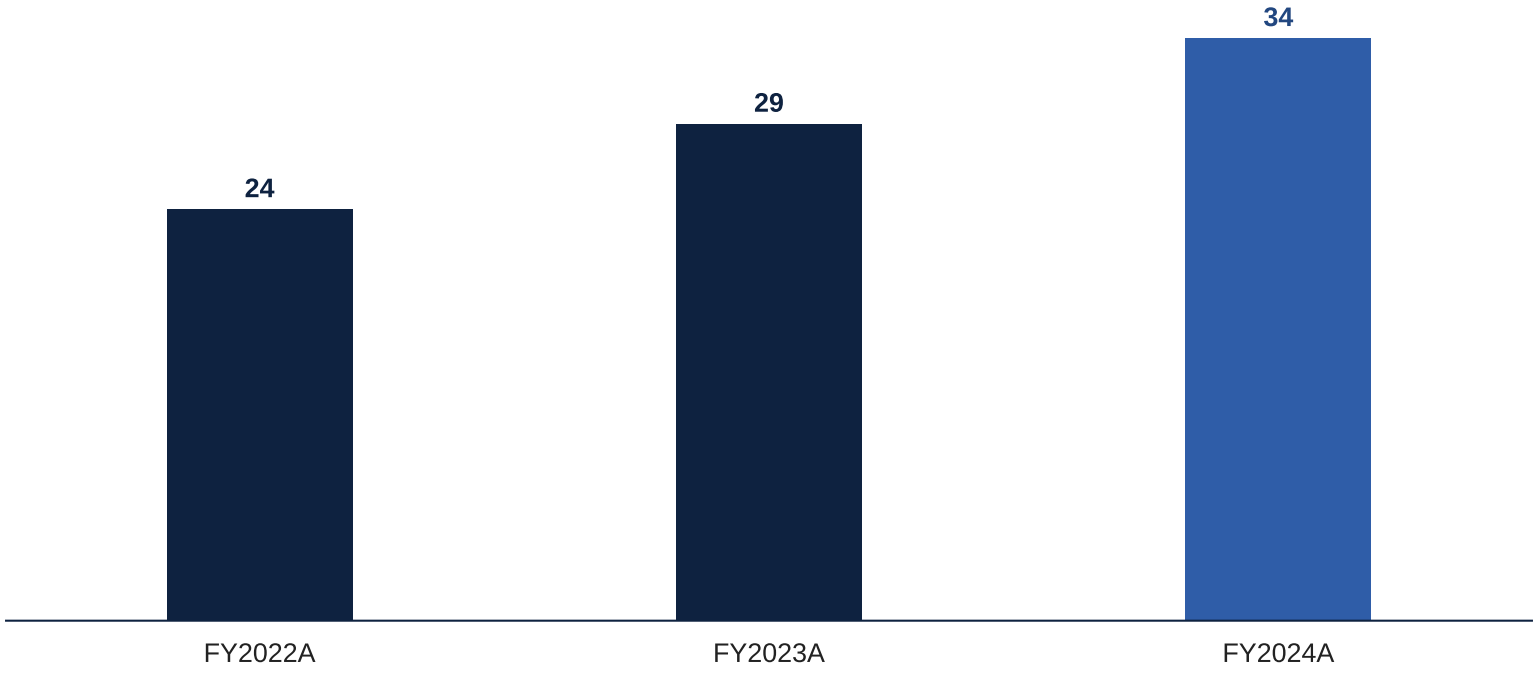
▲ Total revenue growth that year: 16.1%

The gap between total and same-practice growth is revenue from practices acquired in the year. Its split is [n/a: source needed]. Five practices were acquired in FY2024A at an average 4.8x EBITDA.

Source: company management information (test material); total growth is team analysis.

Acquisitions took the network from 24 practices to 34 in two years

EXHIBIT 4 **Practices in the network** number of practices



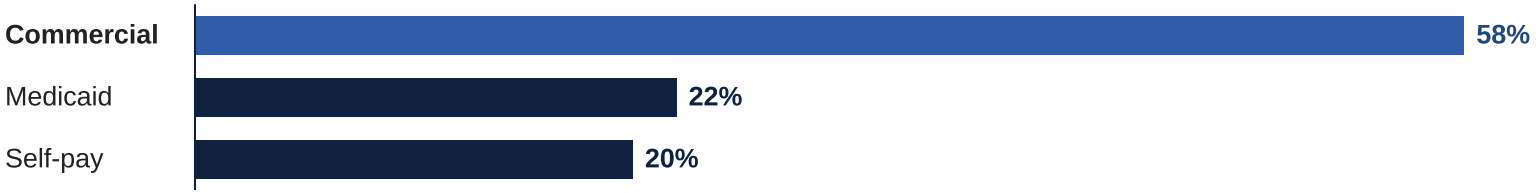
WHAT THE CHART SHOWS

- 24 practices in FY2022A, 29 in FY2023A, 34 in FY2024A.
- 5 practices acquired in FY2024A at an average 4.8x EBITDA.
- The company was founded in 2014. Practices are in Ohio and Michigan.
- Practice count by state: [n/a: source needed].

Source: company management information (test material).

Commercial payers are 58% of the FY2024A payer mix, Medicaid 22%

EXHIBIT 5 **Payer mix, FY2024A** % of payer mix



READING THE MIX

- Commercial: 58%. Medicaid: 22%. Self-pay: 20%.
- Basis of the mix (revenue or patient count): [n/a: source needed].

Source: company management information (test material).

The network had 112 dentists in FY2024A, and retention stood at 91%

112

Dentists, FY2024A

Prior-year dentist count: [n/a: source needed].

91%

Dentist retention

Measurement period and definition: [n/a: source needed]. Buyers will ask how retention treats departures during an acquisition.

Source: company management information (test material); period and definition of retention not stated in source.

11 practices under LOI would add $18.5M of revenue, a management figure

11

Practices under letter of intent

Compared with 34 practices at FY2024A year end

$18.5M

Combined revenue of LOI practices (unaudited)

▲ 22.5% of FY2024A revenue ($82.3M)

Whether these practices are in the FY2025E forecast is [n/a: source needed]. The revenue figure is a management estimate and has not been audited.

Source: company management information (test material); percentage of revenue is team analysis.

Management forecasts FY2025E adjusted EBITDA of $17.2M, an 18.3% margin

EXHIBIT 6 FY2024A actual against FY2025E forecast $ in millions; % as stated

	FY2024A (unaudited)	FY2025E (management)
Revenue	82.3	94.0
Revenue growth, %	*16.1*	*14.2*
Adjusted EBITDA	14.6	17.2
Adjusted EBITDA growth, %	*22.7*	*17.8*
Adjusted EBITDA margin, %	**17.7**	**18.3**

READING THE FORECAST

- Management case governs this summary. Date prepared: [n/a: source needed].
- Margin is 0.6 points higher in FY2025E than in FY2024A.
- Forecast EBITDA growth of 17.8% is below the 22.7% achieved in FY2024A.

Source: company management information and management forecast (test material); growth and margins are team analysis.

Buyers return a non-binding indication of interest by a date still to be set

1. Review	2. Indication	3. Next round
This summary and the full memorandum. Dates: [n/a: source needed].	Non-binding indication of interest. Bid date: [n/a: source needed].	Timing and content set by the process letter [n/a: source needed].

Advisor contacts and indication content will be set out in the process letter.

Source: process terms not in source material; to be supplied by the advisor.

Open items are listed here, and each is a question for the data room

EXHIBIT A1 **Open items before buyers rely on this summary** status at this draft

Item	Status	Why a buyer needs it
FY2024A audited accounts	Audit fieldwork not complete	Confirms revenue, reported and adjusted EBITDA
FY2022A and FY2023A audit status	Not stated	Basis of the historical figures
Management biographies	Not supplied	Management and organization page
Fiscal year end and currency basis	Not stated	Labels on every financial page
Customer concentration	Not supplied	Customer page
Market size and third-party source	Not supplied	Market page (omitted from this summary)
Bid date and indication content	Not supplied	Process page
Retention measurement period and definition	Not stated	Dentist page
Prior-year dentist count	Not supplied	Dentist page
Payer mix basis (revenue or patient count)	Not stated	Payer mix page
Practice count by state	Not supplied	Business overview
Forecast preparation date	Not supplied	Forecast page
Whether LOI practices sit in FY2025E	Not stated	Forecast and pipeline pages

Source: gaps identified against the material supplied; no figures on this page.